**RW-6274** **611101**

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## PRINCIPLES OF MANAGEMENT

(CBCS–2008 onwards)

Time : 3 Hours Maximum : 75 Marks

### Section - A (10 × 2 = 20)

Answer **all** questions.

1. What is scientific management ?

2. What is meant by conceptual skill ?

3. Define Policy.

4. What is Budget ?

5. Define Responsibility.

6. What is meant by informal organization ?

7. Define Motivation.

8. What is informal communication ?

9. What do you understand by core competence ?

10. What is meant by Bench marking ?

## Section - B (5 × 5 = 25)

Answer **all** questions.

11. (a) Explain the management process.

(*Or*)

(b) Bring out Elton Mayo's contribution to management thought.

12. (a) What are the types of plans ?

(*Or*)

(b) Outline the characteristics of strategic decisions.

13. (a) Describe the factors determining the span of control.

(*Or*)

(b) Explain the steps involved in delegation.

14. (a) Examine the merits and demerits of Written and Oral communication.

(*Or*)

(b) Describe the path-goal theory of leadership.

15. (a) Enumerate the need for Co-ordination.

(*Or*)

(b) Write a note on Balanced score card.

**Section - C** (3 × 10 = 30)

Answer any **three** questions.

16. Discuss the contribution of Frederick. W Taylor to the management.

17. What are the types of decision-making ? Explain the process of decision-making.

18. What is the purpose of departmentalization ? Discuss different forms of departmentalization.

19. Explain Vroom's expectancy theory of motivation.

20. Discuss the different devices used in control.

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**M.Com. DEGREE EXAMINATION, NOVEMBER 2010**

**Commerce**

**DEVELOPMENT OF ENTREPRENEURSHIP**

(CBCS–2008 onwards)

Time : 3 Hours | Maximum : 75 Marks

**Section - A** (10 × 2 = 20)

Answer **all** questions.

1. Define Entrepreneurship.

2. Enumerate different types of innovation.

3. What is micro-entrepreneurship ?

4. What are the internal forces influencing entrepreneurial environment ?

5. List out any four traits of a successful entrepreneur.

6. What are the institutions functioning in India for promotion of entrepreneurship ?

7. What is capital investment subsidy ?

8. What do mean by incentive ?

9. What is entrepreneurial venture ?

10. What is a project ?

## Section - B (5 × 5 = 25)

Answer **all** questions.

11. (a) Bring out the importance of entrepreneurship.

(*Or*)

(b) Explain the significance of micro-entrepreneurship.

12. (a) In what way political forces contribute development of entrepreneurship ?

(*Or*)

(b) Briefly explain the training programmes offered by NISIET in promoting entrepreneurship.

13. (a) Briefly explain the functions of DIC in the development of entrepreneurship.

(*Or*)

(b) List out the entrepreneurship development schemes of THADCO.

14. (a) What are the objectives of TABCEDCO ?

(*Or*)

(b) Explain any five schemes of KVIC in promoting entrepreneurship.

15. (a) How will you identify business process partner for your business ?

(*Or*)

(b) Prepare a small project proposal for water hand-pumps.

**Section - C** (3 × 10 = 30)

Answer any **three** questions.

16. Explain different types of entrepreneurs.

17. Discuss the impact of psychological forces on entrepreneurial environment.

18. Explain the incentives offered by Small Industries Development Organisation for development of entrepreneurship.

19. Discuss the schemes floated by commercial banks for promotion of entrepreneurship.

20. What is business competition ? What strategies could be adopted for dealing with competition ?

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**M.Com. DEGREE EXAMINATION, NOVEMBER 2010**

**Commerce**

**INTERNATIONAL BUSINESS ENVIRONMENT**

(CBCS–2008 onwards)

Time : 3 Hours | Maximum : 75 Marks

**Part - A** (10 × 2 = 20)

Answer **all** questions.

1. What do you mean by Regional Trade Blocks ?

2. Explain portfolio investment.

3. Explain Forward market.

4. State the three main implications of international business.

5. What is multinational company ?

6. Expand MIGA.

7. What is WTO ?

8. What is Counter Trade ?

9. What is International Finance ?

10. Write the Currencies of any four countries.

## Part - B (5 × 5 = 25)

Answer **all** questions by choosing **either** (a) **or** (b).

11. (a) Bring out the factors affecting International Business.

(*Or*)

(b) State the advantages of flexible exchange rates.

12. (a) Briefly explain organisation of IMF.

(*Or*)

(b) State the merits of MNC's.

13. (a) Explain the objectives of SAARC.

(*Or*)

(b) Write any five differences between International Trade and Domestic Trade.

14. (a) What are the problems of International Business ?

(*Or*)

(b) What are the benefits of Regional Trading blocks ?

15. (a) What is your opinion on the role of FDI in the economic development of the host country ?

(*Or*)

(b) Explain the Pull and Push factors of foreign investments.

**Part - C** (3 × 10 = 30)

Answer any **three** questions.

16. Foreign Direct investment has become an effective resource mobilization avenue as compared to foreign institutional investment. Justify the statement with examples and criteria for selecting investment destinations from investors point of view.

17. Describe the need for policies to promote technology transfer.

18. What is political risk ? How will you measure it ? And what are the methods available in handling such risk ?

19. Discuss the role of MNC's in International Business.

20. Write about the impact of fluctuation in values of Dollar or Yen on global business.

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# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## ADVANCED FINANCIAL ACCOUNTING

(CBCS–2008 onwards)

Time : 3 Hours | Maximum : 75 Marks

### Part - A (10 × 2 = 20)

Answer **all** questions.

1. How are inter department transfers of goods dealt with in the accounts ?

2. State the different methods of finding the profits in single entry system.

3. What is instalment system ?

4. State the difference between fixed and fluctuating capitals.

5. What is Joint Life Policy ?

6. How can you treated the goodwill be treated at the time of admission ?

7. State Garner *vs*. Murray's Case rule.

8. State any four objectives of branch accounting.

9. What are the various types of branches ?

10. What are the components of computer ?

## Part - B (5 × 5 = 25)

Answer **all** questions.

11. (a) Vishnu maintains books on Single Entry System. He gives you the following information :

| | Rs. |
|---|---|
| Capital on March 31, 1998 | 11,400 |
| Capital on March 31, 1999 | 12,675 |
| Drawings made during the period | |
| April 1998 to March 1999 | 3,600 |
| Capital introduced on October 31,1998 | 1,500 |

You are required to calculate the profit made by Vishnu.

(*Or*)

(b) From the following information calculate total purchases.

| | Rs. |
|---|---|
| Cash Purchases | 85,000 |
| Creditors as on April 1, 1998 | 40,000 |
| Cash paid to creditors | 1,55,000 |
| Purchase returns | 5,000 |
| Creditors as on March 31, 1998 | 67,000 |

12. (a) Robert & Co. purchased Machinery on 1st April 2002 for Rs. 75,000. After having used it for three years it was sold for Rs. 35,000. Depreciation is to be provided every year at the rate of 10% per annum on Diminishing balance method. Accounts are closed on 31st March every year. Find out the profit or loss on sale of machinery.

(*Or*)

(b) Shyam purchases a T.V. set on hire purchase basis for Rs. 5,000 and makes the payment in the following order :

| | Rs. |
|---|---|
| Down payment | 1,000 |
| 1st instalment after one year of the agreement | 2,000 |
| 2nd instalment after two years of the agreement | 1,000 |
| 3rd instalment after three years of the agreement | 1,000 |

The cash price of the T.V Set is Rs. 4,400

Prepare the necessary accounts in the books of the hire vendor.

13. (a) On 1st April, 1999, the Rangan purchased a motor vehicle on the hire purchase from Bengal Ltd. the total amount payable being Rs. 48,000. Payment was to be made Rs. 8,000 down and the balance in four annual installments of Rs. 10,000 each including interest charges at the rate of 5% p.a. payable on 31st march each year. You are required to ascertain the cash price of the motor vehicle.

(*Or*)

(b) A and B were partners. The Partnership Deed provided, inter alia, that :

(i) The account are made up to March 31, each year.

(ii) The profits are divided as follows. A 1/2 : B, 1/3 and Reserve. 1/6,

(iii) In the event of death of a partner, his representatives be entitled to :

1 The capital to his credit at date of death.

2 His proportion of profits to date of death based on the average profits of the last three completed years.

3 By way of goodwill his proportion of the total profits for the three preceding completed years.

On 31st March, 2009, the Ledger Balances were :

| | Rs. | Rs. |
|---|---|---|
| A's Capital | | 90,000 |
| B's Capital | | 60,000 |
| Reserve | | 30,000 |
| Creditors | | 30,000 |

| | Rs. | Rs. |
|---|---|---|
| Bills Receivable | 20,000 | |
| Investments | 50,000 | |
| Cash | 1,40,000 | |
| | 2,10,000 | 2,10,000 |

The profits for the years were : 2007–08 Rs, 42,000: 2008–09, Rs. 39,000 and 2009–10, Rs. 45,000. B died on 1st August, 2010. Show the Account of B's Executors.

14. (a) The following information relates to Madurai Branch :

| | Rs. |
|---|---|
| Stock on 1st Jan. 2004 | 11,200 |
| Branch Debtors on 1st jan 2004 | 6,300 |
| Goods sent to branch | 51,000 |

Cash sent to branch for :

| | | |
|---|---|---|
| Rent | 1,500 | |
| Salaries | 3,000 | |
| Petty Cash | 500 | |
| Sales at branch : | | |
| Cash | 25,000 | |
| Credit | 39,000 | |
| | ——— | 64,000 |
| Cash received from debtors | | 41,200 |
| Stock on 31st Dec. 2004 | | 13,600 |

Prepare Branch Account for the year 2004.

(*Or*)

(b) A factory delivers goods to its customers in drums, charging them out at Rs. 12 each. Customers are credited with Rs. 8 if returned within a month. From the following information, draw up Containers Stock Account and Containers Reserve Account.

| | Rs. |
|---|---|
| Number of containers in hand at 1st Jan | 4,500 |
| Number of containers with customers (all returnable at 1st Jan) | 3,600 |
| Number of containers with customers (all returnable at 31st Dec.) | 2,900 |
| Purchases during the year | 6,000 |
| Sent to customers during the year | 10,000 |
| Returned by customers during the year | 6,800 |

15. (a) What are the different methods of depreciation ?

(*Or*)

(b) Write the note on TALLY accounting software.

**Part - C** (3 × 10 = 30)

Answer any **three** questions.

16. Describe the various accounting concepts and conventions.

17. Delhi Ltd. Purchased from Bombay Co. three machines costing Rs. 40,000 each on the Hire–

Purchase System. Payment was to be made Rs. 30,000 down and the remainder in three equal installments together with interest at 5%. Delhi Ltd. writes off depreciation @ 20% on the diminishing balance. It paid the installment due at the end of the first year but could not pay the next.

Give the necessary Ledger Accounts in the books of both the parties for two years if the hire vendor took possession of all the three machines. The hire vendor spent Rs. 5,800 on getting the machines thoroughly overhauled and sold them for Rs. 70,000.

18. The Balance Sheet of A, B, C and D are given below as on 31st March 2007.

| | Rs. | Rs. | | Rs. |
|---|---|---|---|---|
| Sundry Creditors | 20,000 | | Cash in hand | 1,000 |
| Capitals : | | | Debtors | 15,000 |
| | | | Plant and Machinery | 80,000 |
| A | 60,000 | | Good will | 20,000 |
| B | 40,000 | | Stock | 8,000 |
| C | 6,000 | | | |
| | ——— | 1,06,000 | D Capital Account | 2,000 |
| | | ——— | | ——— |
| | | 1,26,000 | | 1,26,000 |
| | | ——— | | ——— |

The partners who have been hither to sharing the profits and losses in the ratio of 4:3:2:1 decided to wind up the business as C and D become insolvent. A sum of Rs. 10,000 is realised from C whereas nothing could be realised from D. Stock and debtors realised Rs. 4,000 and Rs. 9,000 respectively. Plant and Equipment are sold for Rs. 50,000 while goodwill is valueless. The costs of realisations amount to Rs. 6,000 while sundry creditors have to be paid their claims in full. One of the creditors for Rs. 6,000 in the books of the firm actually claimed Rs. 12,000 and the claim were settled at Rs. 10,000 by arbitration.

Close the books of the firm by showing the relevant ledger accounts. Follow the rule in Garner *vs.* Murray Case.

19. In the month of January, 2001 the following purchases were made by a business house having three departments :

| | | |
|---|---|---|
| Department A | 1,000 units | |
| Department B | 2,000 units | at the total cost |
| Department C | 2,400 units | of Rs. 1,00,000 |

Stock on 1st January were :

Department A 120 units, departments B 80 units and Department C 152 units. The sales for the month were :

Department A 1,020 units at Rs. 20 each.

Department B 1,920 units at Rs. 22.50 each.

Department C 2,496 units at Rs. 25 each.

The rate of gross profit is the same in each case. Prepare departmental trading accounts.

20. Describe the various applications of Accounting Packages.

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RW-6278 | 611501

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## Elective—MANAGEMENT OF FINANCE

(CBCS–2008 onwards)

Time : 3 Hours | Maximum : 75 Marks

### Part - A (10 × 2 = 20)

Answer **all** questions.

1. What is the goal of financial management ?

2. What information is conveyed by the present value of Annuity of Re.1 Table ?

3. Define a Perpetuity.

4. What is permanent working capital ?

5. Define Leverage.

6. What is marginal cost of capital ?

7. Give the meaning of the concept EVA.

8. What is post pay–back profitability ?

9. What is a stable dividend policy ?

10. Whose dividend approach is said to be the bird–in–the hand approach ?

## Part - B (5 × 5 = 25)

Answer **all** questions.

11. (a) Explain the concept 'Risk–Return Trade off'.

(*Or*)

(b) If you deposited Rs. 55,650 in a bank which was paying a 15% rate of interest on a ten-year time deposit, how much would the deposit grow at the end of ten years.

12. (a) Explain Global Depository Receipts (GDRs).

(*Or*)

(b) Justify the significance of adequate working capital.

13. (a) A 7–year of Rs. 100 debenture of a firm can be sold for a met realisable price of Rs. 93. The rate of interest is 10%. The debenture is redeemable at a premium of 7% on maturity. The tax rate is 35%.

Calculate the after tax cost of debenture.

(*Or*)

(b) Two firms A and B have the following information :

| | Sales Rs. | Variable costs Rs. | Fixed costs Rs. |
|---|---|---|---|
| Firm A | 18,00,000 | 4,50,000 | 9,00,000 |
| Firm B | 15,00,000 | 7,50,000 | 3,75,000 |

Calculate the degree of operating leverage for both firms.

14. (a) Equipment A has a cost of Rs. 75,000 and net cash flow of Rs. 20,000 per year for six years. A substitute equipment B would cost Rs. 50,000 and generate net cash flow of Rs. 14,000 per year for six years. The required rate of return of both equipments is 11% which equipment should be accepted and why ?

(*Or*)

(b) A machine will cost Rs. 1,00,000. It is expected to provide profits before depreciation of Rs. 3,000 each in years 1 and 2 and Rs. 4,000 each in years 3 and 4. Assuming a straight line depreciation and no taxes, what is the average accounting rate of return ? What will be your answer if the tax rate is 35%.

15. (a) State the different types of Dividend.

(*Or*)

(b) The following data related to a firm. EPS Rs. 10, capitalisation rate 10%, retention ratio 40%. Determine the price per share under Gordon's model if the internal rate of return is 10%.

**Part - C** (3 × 10 = 30)

Answer any **three** questions.

16. How the wealth maximisation objective of managing finance is superior to the profit maximisation objective ? Explain.

17. Explain the factors that affect Dividend Decision.

18. A proforma cost sheet of a company provides the following data :

| Costs per unit | Rs. |
|---|---|
| Raw Materials | 52-00 |
| Direct Labour | 19-50 |
| Overheads | 36-00 |
| Total Cost | 110-50 |
| Profit | 19-50 |
| Selling Price | 130-00 |

Additional Information :

Average raw material in stock : One month; average materials in process : half a month. Credit allowed by suppliers : One month ; credit allowed to debtors : two months. Time lag in payment of wages. : one and a half weeks. Overheads : one month. One – fourth of sales are on cash basis. Cash balance is expected to be Rs. 1,20,000.

Prepare a statement showing the working capital needed to finance a level of activity of 70,000 units output. Assume that production is carried on evenly throughout the year and wages and overheads accrue similarly.

19. Lohio chemicals Ltd. has the following book valve capital structure and after–tax component costs on 31st March 2009.

| Source of Finance | Amount | Proportion | Cost |
|---|---|---|---|
| | Rs. | (%) | (%) |
| Share capital (Equity) | 4,50,000 | 45 | 18 |
| Reserves and Surplus | 1,50,000 | 15 | 18 |
| Preference share capital | 1,00,000 | 10 | 11 |
| Debentures | 3,00,000 | 30 | 8 |
| | 10,00,000 | 100 | |

Calculate weighted average cost of capital.

20. The following are two mutually exclusive projects :

| Projects | $C_0$ | $C_1$ | $C_2$ | $C_3$ | $C_4$ |
|---|---|---|---|---|---|
| I | (–) 25,000 | (+)30,000 | | | |
| II | (–) 25,000 | 0 | 0 | 0 | 43,750 |

Assume a 10% opportunity cost of capital, compute the NPV and IRR for each project. Comment on the results.

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RW-6279 | 611701

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## I/D—MANAGERIAL COMMUNICATION

(CBCS–2008 onwards)

Time : 3 Hours | Maximum : 75 Marks

### Part - A (10 × 2 = 20)

Answer **all** questions.

1. Define the term 'Communication'.

2. What is Internet ?

3. What do you mean by group communication ?

4. Write the 3ps of business writing.

5. What is work team presentation ?

6. What is Oral Presentation ?

7. What is Salutation ?

8. What is Executive summary ?

9. What is bill of discounting ?

10. What do you mean by L / C ?

## Part - B (5 × 5 = 25)

Answer **all** questions.

11. (a) Explain the objectives of Communication.

(*Or*)

(b) Explain the importance of work team communication.

12. (a) What are the principles of business writing ?

(*Or*)

(b) Explain the characteristics of good report.

13. (a) Briefly explain the application of visual aids in business presentations.

(*Or*)

(b) Explain the process of business presentations.

14. (a) Write a letter from Pranesh and Company giving quotations for supply of electrical pumpsets.

(*Or*)

(b) Draft a letter to confirm a quotation sent earlier by telex, expanding the quotation and making the offer 'firm'

15. (a) Write a letter to your bank to get you necessary information about the credit standing of a firm desirous of operating a credit amount with you.

(*Or*)

(b) Explain the types of Report.

**Part - C** (3 × 10 = 30)

Answer any **three** questions.

16. Explain the strategies which are used for communicating across different cultures.

17. Explain the significance of Written Communication. How can written communication be made more effective ?

18. Draft a work team presentation for a business.

19. "The success of a letter depends upon the effectiveness of its opening and closing paragraphs". Discuss and explain why it is so.

20. Draft a letter to Standard Traders, New York advising them to the despatch of the goods ordered by them from Mumbai by sea.

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RW-6280 | 611301

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## INCOME TAX LAW AND PLANNING

(CBCS–2008 onwards)

Time : 3 Hours | Maximum : 75 Marks

### Section - A (10 × 2 = 20)

Answer **all** questions.

1. State any six items exempted from Income Tax.

2. Who is a resident ?

3. What are the items included under the head salary U/S 17 ?

4. What is profit-in-lieu of salary ?

5. Write a note on unrealised rent.

6. Write a note on Deemed to be let out house.

7. How will you treat the expenditure on premises in business ?

8. Explain the kinds of "Capital Gains".

9. Write short note on 'deemed owner'.

10. What is "Inter Sources Adjustment"

**Section - B** (5 × 5 = 25)

Answer **all** questions.

11. (a) Explain the objectives of Taxation.

(*Or*)

(b) What are the incomes deemed to be received in India ?

12. (a) Compute Net Salary of Mr.A for the assessment year 2009-10. Basic pay Rs. 10,000 p.m., DA Rs. 500 p.m., CCA Rs. 200 p.m. Commission Rs. 500 p.m. Bonus Rs. 700 p.m. Professional tax paid by employer Rs. 1,200 Employer's Contribution of SPF Rs. 3,000 p.m, Interest Credit to SPF during 2008-09 Rs. 30,000 at 15%. A is Government employee. He is in receipt of Entertainment allowance @ Rs. 1,000 per month.

(*Or*)

(b) Mr. Ram retires on 30-09-2008 after 20 year of service and received Rs. 96,000 as leave encashment for 12 months. His employer allows him 1½ months of leave for every one year of service. He has already encashed leave for 18 months. His salary for 2007-08 was Rs. 6,000 p.m and from 1-4-2008 it was raised to Rs. 8,000 p.m. Compute the taxable amount of leave encashment.

13. (a) The Net annual value of a house property of Mr. X is Rs. 12,000. The expenses to the house are as follows.

| | Rs. |
|---|---|
| Repair | 2,000 |
| Ground rent | 600 |
| Insurance premium | 1,000 |

Interest on loan obtained for repairing the house Rs. 1,000.

Compute the income from house property of Mr.X.

(*Or*)

(b) Ravi has a property whose municipal Valuation is Rs. 2,40,000. He let out to a Bank for Rs. 30,000 p.m from July 2008. For the month of April, May and June 2008 the property was vacant. Calculate his income from house property.

14. (a) Mr. Raman transfer his house on 30-9-2008 for Rs. 9,55,000. The house was purchased by his father in 1953 for Rs. 40,000 and inherited by R on the death of his father in 1980. Fair market value on 1.4.1981 is Rs. 1,55,000. On 20th January 2008, he Purchased a residential home at Chennai for Rs. 4,00,000. Compute the amount of capital gain for the A.Y. 2009–2010.

(*Or*)

(b) From the following incomes of Mr. Gopal for the A.Y. 2009–10.

(i) Income from Agriculture in Burma Rs. 40,000.

(ii) Income from letting of vacant land for godown in Agra Rs. 1,000 p.m.

(iii) Income from letting a vacant land in Agra for village markets Rs. 5,000.

(iv) Management Consultancy remuneration Rs. 50,000.

(v) Royalty received (allowable expenses Rs. 500) Rs. 5,000.

Compute his income from other sources.

15. (a) From the following Income and expenditure of Mr.Xavier for the previous year 2008-09, Compute his total income.

(i) Business Profit Rs. 1,50,000.

(ii) Winnings from lotteries Rs. 55,000.

(iii) Long term Capital gain Rs. 40,000.

(iv) Donation to Prime Minister's National Relief fund Rs. 10,000.

(v) Donation to a temple approved for purpose of section 80 G Rs. 25,000.

(*Or*)

(b) From the following Calculate total income.

Loss from Business Rs. 4,00,000.

Depreciation allowance for the AY 2009–10 Rs. 80,000.

House Property income Rs. 8,00,000.

Items carried forward from earlier years :

Business loss of AY 2007–08 Rs. 4,80,000.

Unabsorbed depreciation Rs. 2,00,000.

## Section - C (3 × 10 = 30)

Answer any **three** questions.

16. Which of the following incomes are taxable when the residential status of Mr. Anil is (i) Resident. (ii) Not ordinarily Resident. (iii) Non Resident.

(a) Income accrued in Canada but received in India Rs. 2,000.

(b) Rs. 5,000 earned in Africa and received there but brought to India.

(c) Rs. 5,000 earned in India but received in Canada.

(d) Rs. 10,000 earned and received in Srilanka from a business controlled from India.

(e) House Property Income (Computed) from Srilanka Rs. 2,000.

(f) Rs. 4,000 was past untaxed foreign income which was brought to India during the previous year.

(g) Profit earned from a business in Kanpur Rs.10,000.

17. Mr.Murugan gives you the following particulars of his Income earned during the previous year 2008-09. He is a Government employee working in Dindigul.

| | | Rs. (per annum) |
|---|---|---|
| (a) | Net Salary (after deduction of Tax deducted at source and own contribution to RPF) | 1,40,000 |
| (b) | Tax Deducted at source by employer | 10,000 |
| (c) | Own contribution to Recognised Provident Fund | 10,000 |
| (d) | Employer contribution to RPF | 10,000 |
| (e) | Entertainment allowance | 12,000 |
| (f) | Professional Tax Paid | 1,500 |
| (g) | House Rent Allowance (actual paid 600 p.m) | 9,000 |
| (h) | Interest Credited to the RPF @ 15.5 % | 3,300 |

18. Mr. R. Constructed one house in 1980. 50% of the property is let out and 50 % is occupied for his residence. The let out portion was also occupied for 2 months. The Particulars are

| | | Rs. |
|---|---|---|
| Municipal value of full house | ... | 5,000 |
| Annual rent of 50 % portion | ... | 4,000 |
| Municipal Tax Paid | ... | 1,000 |
| Ground rent | ... | 100 |
| Repair | ... | 900 |
| Fire insurance premium | ... | 200 |
| Collection Charges | ... | 300 |
| Interest on loan take for Construction | ... | 1,000 |

His income form all other sources amounts to Rs. 50,000. Determine his gross total income.

19. From the following Profit and Loss account of a Merchant for the ended 31st march 2009, ascertain his taxable profit from business.

Profit and Loss Account

| | Dr. | | Cr. |
|---|---|---|---|
| Office Salary | 4,800 | Gross Profit | 1,35,532 |
| General Expenses | 2,550 | Commission | 1,205 |
| Bad debts written off | 2,100 | Discount | 751 |
| Reserve for Bad debts | 3,000 | Sundry Receipt | 202 |
| Fire Insurance Premium | 450 | Building Rent | 52,640 |
| Advertisement | 2,500 | Capital gain | 3,000 |
| Interest on Capital | 1,000 | | |
| Interest on Bank loan | 1,550 | | |
| Donation | 3,875 | | |
| Depreciation | 1,200 | | |
| Net Profit | 1,70,305 | | |
| | 1,93,330 | | 1,93,330 |

(a) The amount of depreciation allowable is Rs. 1,000

(b) General expenses includes Rs. 500 spent on printing of Calenders.

Compute his business income.

20. What are the donations allowable as deduction U/S 80G ?

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RW-6281 | 611302

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## ADVANCED CORPORATE ACCOUNTING

(CBCS–2008 onwards)

Time : 3 Hours | Maximum : 75 Marks

### Part - A (10 × 2 = 20)

Answer **all** questions.

1. What do you mean by Buy–back of shares ?

2. State legal provisions as to the utilisation of share premium.

3. State the legal formalities to be followed for the reduction of share capital.

4. How would you ascertain the amount of minority interest ?

5. Mention the methods of calculating purchase consideration.

6. Distinguish between External Reconstruction and Internal Reconstruction.

7. How would you treat liabilities not taken over by Transferee Company under absorption ?

8. What is the meaning of "Rebate on bills discounted" ?

9. How profit is ascertained in the Life Insurance Company Accounts ?

10. What do you mean by Human Resource Accounting ?

## Part - B (5 × 5 = 25)

Answer **all** questions.

11. (a) The directors of Mathy Ltd. resolved on 1st May, 2007 that 2000 equity shares of Rs. 10% each Rs. 7.50 paid be forfeited for non-payment of final call of Rs. 2.50. On June 10, 2007, 1,800 of the above shares were re-issued for Rs. 6 per share. Show the journal entries required to give effect to the above transactions.

(*Or*)

(b) R–Ltd. had issued 50,000 redeemable preference shares of Rs. 10 each, Rs. 8 paid. In order to redeem these share, the company issued for cash 30,000 equity shares of Rs. 10 each at a premium of Rs. 2 per share. Out of the cash proceeds the redeemable preference shares were paid and the balance was met out of the reserve fund which stood at Rs. 2,50,000. Give journal entries in the books of the Company.

12. (a) Star Ltd was incorporated on 1st July, 1998 to acquire a running business with effect from 1st April, 1998. The accounts for the year ended 31st March, 1999 disclosed the following :

(i) There was a gross profit of Rs. 3,00,000.

(ii) The sales for the year amounted to Rs. 12,00,000 of which Rs. 2,40,000 were for the first six months.

(iii) The expenses debited to the Profit and Loss Account included –directors fees : Rs. 15,000; bad debts : Rs. 3,600; advertising Rs. 12,000 (under a contract amounting to Rs. 1,000 per month); salaries and general expenses : Rs. 64,000; preliminary expenses written off Rs. 50,000 and donation to a political party given by the Company Rs. 5,000.

Prepare a statement showing the amount of profit made before and after incorporation.

(*Or*)

(b) Balance Sheets as at 31st March, 2009.

| | H Ltd. | S.Ltd. | | H.Ltd. | S.Ltd. |
|---|---|---|---|---|---|
| | Rs. | Rs. | | Rs. | Rs. |
| Share Capital | | | Sundry Assets | 4,70,000 | 2,60,000 |
| Shares of Rs. 10 | | | 100% shares in | | |
| each Fully paid | 5,00,000 | 2,00,000 | S Ltd. (at cost) | 2,10,000 | |
| Reserves | 1,00,000 | | | | |
| Creditors | 80,000 | 60,000 | | | |
| | 6,80,000 | 2,60,000 | | 6,80,000 | 2,60,000 |

Prepare a Consolidated Balance Sheet as at 31st March, 2009.

13. (a) Lal Ltd. agreed to absorb the Business Mal. Ltd. The purchases consideration was as under.

(i) For every 4, 10 % preference shares of Rs. 10 each; in Mal Ltd, 7 equity shares of Rs. 10 each in Lal Ltd. as Rs. 8 paid up. There were 60,000, 10 % preference shares in Mal Ltd.

(ii) For every 3 equity shares of Rs. 10 each in Mal Ltd . 8 Equity shares in Lal Ltd. as Rs. 10 paid up. There were 90,000 equity shares in Mal Ltd.

Find out purchase consideration.

(*Or*)

(b) ABC Company Ltd. Passed resolution and got Court permission for the reduction of its share capital by Rs. 5,00,000 for the purposes mentioned as under.

(i) To write off the debit balances of P&L A/c Rs. 2,10,000.

(ii) To reduce the value of Plant and Machinery by Rs. 90,000 and goodwill by Rs. 40,000.

(iii) To reduce the value of investment by Rs. 80,000.

The reduction was made by converting 50,000 preference shares of Rs. 20 each fully paid to the same number of preference shares of Rs. 15 each fully paid and by converting 50,000 equity shares of Rs. 20 each on which Rs. 15 is paid up into 50.000 equity shares of Rs. 10 each fully paid up.

Pass journal entries to record the share capital reduction.

14. (a) Following are the statements of interest on advances in respect of performing and non-performing assets of Madura Bank Ltd. Find out the income to be recognized for the year ended 31st March, 2008

[all figures in rupees lakhs].

| *Performing Assets* | Interest earned | Interest received |
|---|---|---|
| Cash credit and overdrafts | 1,800 | 1,060 |
| Term loan | 480 | 320 |
| Bills Purchased and discounted | 700 | 550 |
| *Non-performing Assets* | | |
| Cash credit and overdrafts | 450 | 70 |
| Term Loan | 300 | 40 |
| Bills purchased and discounted | 350 | 36 |

(*Or*)

(b) Zaldi Pay Insurance Co. Ltd has furnished the following information for preparations of Revenue Account for fire insurance business for the year ended 31st March, 2005.

| | Rs. |
|---|---|
| Claims admitted but not paid | 42,376 |
| Commission paid | 50,000 |
| Commissin on reinsurance received | 12,000 |
| Share transfer fees | 12,000 |
| Expenses of Management | 5,000 |
| Bad Debts | 78,000 |
| Claims Paid | 2,500 |
| Profit and Loss Account Appropriation | 15,000 |
| Premiums Received (less Reinsurance) | 10,000 |
| Reserve for Unexpired Risks as on 1.4.2004 | 5,52,000 |
| Claims Outstanding as on 1.4.2004 | 2,30,000 |
| Dividend on Share Capital | 27,000 |

The following further information has also to be considered :

(i) Premiums outstanding at the end of the year is Rs. 40,000.

(ii) It is the policy of the company to maintains 50% of premium towards reserve for unexpired risks.

15. (a) What are the methods in the accounting for price level change ?

(*Or*)

(b) What are the legal requirements regarding the preparation of Company's Final Account ?

## Part - C

(3 × 10 = 30)

Answer any **three** questions.

16. Explain in detail the requirements for the Redemption of Preference shares as laid down in Section 80 of the Companies Act, 1956.

17. Shelley Ltd., was incorporated with a nominal capital of Rs. 5,00,000 in equity shares of Rs. 10 each. On 31st March, 2005, 25,000 shares were fully called up. The following balances were extracted from the ledger of the Company as on 31st March, 2005 :

| *Particulars* | Rs. | *Particulars* | Rs. |
|---|---|---|---|
| Stock | 50,000 | Advertisement | 3,800 |
| Sales | 4,25,000 | Bonus | 10,500 |
| Purchases | 3,00,000 | Debtors | 38,700 |
| Wages (Productive) | 70,000 | Creditors | 35,200 |
| Discount Allowed | 4,200 | Plant and Machinery | 80,500 |
| Discount Received | 3,150 | Furniture | 17,100 |
| Insurance upto 30.6.2005 | 6,720 | Cash at Bank | 1,34,700 |
| Salaries | 18,500 | General Reserve | 25,000 |
| Rent | 6,000 | Loan from Managing Director | 15,700 |
| General Expenses | 8,950 | Bad debts | 3,200 |
| Profit and Loss Account | 6,220 | Calls–in–arrear | 5,000 |
| Printing and Stationary | 2,400 | | |

You are required to prepare Profit and Loss Account for the year ended 31st March, 2005 and Balance Sheet in the prescribed from as on that date. The following further information is given to you;

(i) Closing stock was Rs. 91,500.

(ii) Depreciation is to be charged on plant and machinery and furniture at 15% and 10% respectively.

(iii) Outstanding liabilities on 31st March, 2005 were; Wages Rs. 5,200; Salary Rs. 1,200; and Rent Rs. 600.

(iv) Dividend for the year ended 31st March, 2005 @ 5% is to be provided.

(v) Make a provision for taxation @ 50%.

18. M Ltd and N Ltd. agreed to amalgamate on the basis of the following Balance Sheet as on 31.3.97.

| Liabilities | M Rs. | N Rs. | Assets | M Rs. | N Rs. |
|---|---|---|---|---|---|
| Shares capital | | | Good will | 30,000 | — |
| Rs. 25 each | 75,000 | 50,000 | Fixed assets | 31,500 | 38,800 |
| P & L A/C | 7,500 | 2,500 | Stock | 15,000 | 12,000 |
| Creditors | 3,500 | 3,500 | Debtors | 8,000 | 5,200 |
| Depreciation fund | — | 2,500 | Bank | 1,500 | 2,500 |
| | 86,000 | 58,500 | | 86,000 | 58,000 |

The Assets and Liabilities are to be taken over by a new company formed called P.Ltd. at book values. P Ltd's capital is Rs. 2,00,000 divided into 10,000 equity shares of Rs. 10 each and 10,000 9% preference shares of Rs. 10 each.

P Ltd. issued the equity shares equally to the vendor companies and preference shares were issued for any balance of purchase price.

Pass journal entries in the books of P Ltd. and prepare its Balance Sheet, if the amalgamation is in the nature of purchase.

19. The following are the figures extracted from the books of Sukalyan Bank Ltd. as on 31.03.2005. (all figures in rupees).

| | Rs. | | Rs. |
|---|---|---|---|
| Interest and Discount received | 20,30,000 | Directors fees and | |
| Interest paid on Deposits | 12,02,000 | allowance | 12,000 |
| Issued and Subscribed Capital | 5,00,000 | Rent and taxes paid | 54,000 |
| Reseves under Section 17 | 3,50,000 | Stationery and priniting | 12,000 |
| Commission, Exchange and | | Postage and telegram | 25,000 |
| Brokerage | 90,000 | Other expenses | 12,000 |
| Rent received | 30,000 | Audit fees | 4,000 |
| Profit on sale of investment | 95,000 | Depreciation on Bank's | |
| Salaries and Allowances | 1,05,000 | properties | 12,500 |

Other Information :

(i) Provision for bad and doubful debts necessary Rs. 2,00,000.

(ii) Rebate on bills discounted as on 31.03.2005, Rs. 7,500.

(iii) Provide Rs. 3,50,000 for income tax.

(iv) The directors desire to declare 10% dividend.

Make the necessary assumptions and prepare the Profit and Loss Account in accordance with the law.

20. Explain the various approaches for valuation of human resources.

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RW-6282 | 611303

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## MODERN MARKETING MANAGEMENT

(CBCS–2008 onwards)

Time : 3 Hours | Maximum : 75 Marks

### Part - A (10 × 2 = 20)

Answer **all** questions.

1. State the modern concept of marketing.

2. What are the internal factors in the marketing environment ?

3. Define Consumer behaviour.

4. What is market segmentation ?

5. What is product mix ?

6. State the meaning of product diversification.

7. What do you mean by break even analysis ?

8. State any three products for which administered pricing is followed in India.

9. What is promotion in marketing ?

10. State the causes of channel conflicts.

## Part - B (5 × 5 = 25)

Answer **all** questions.

11. (a) Discuss the characteristics of services.

(*Or*)

(b) Describe the impact of demography on marketing management.

12. (a) What is product positioning ? Being out its importance.

(*Or*)

(b) Explain the phases in consumer decision making process.

13. (a) Discuss the functions of packaging.

(*Or*)

(b) Examine the significance of BCG product portfolio concept in marketing.

14. (a) Describe the importance of pricing a product.

(*Or*)

(b) Compare and contrast skimming the cream policy with market penetration policy of pricing.

15. (a) Discuss the functions of a wholesaler.

(*Or*)

(b) What are the strengths of advertising as a promotion tool ? Explain briefly.

**Part - C** (3 × 10 = 30)

Answer any **three** questions.

16. Discuss various approaches to the study of marketing.

17. Describe strategic options available to a marketer.

18. Explain the steps in new product development

19. Enumerate the factors affecting pricing policy of a firm.

20. Describe the importance of sales promotion in marketing of a product.

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RW-6283

611304

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## PROJECT MANAGEMENT

(CBCS—2008 onwards)

Time : 3 Hours Maximum : 75 Marks

**Part - A** (10 × 2 = 20)

Answer **all** questions.

1. What is a "Project" ?

2. List out the project life cycle phases.

3. Explain the screening of project ideas.

4. What is a "Project Report" ?

5. Define "Pay back period".

6. What do you mean by "Managerial appraisal" ?

7. What is PERT ?

8. What is 'CPM' ?

9. What is mean by slack time ?

10. Explain the 'Over run'.

**Part - B** (5 × 5 = 25)

Answer **all** questions.

11. (a) What are the different steps in project Management ?

(*Or*)

(b) What are the Advantages of Project Management ?

12. (a) State the different stages in the project formulation.

(*Or*)

(b) Describe the contents of an ideal project report.

13. (a) State the Objectives of project appraisal.

(*Or*)

(b) What are the phases in feasibility analysis ?

14. (a) What are the Characteristics of Critical path in a net work.

(*Or*)

(b) What is the Advanges of network based Scheduling techniques ?

15. (a) Give a brief account of "Time - Cost Trade Off".

(*Or*)

(b) Explain the need for project - evaluation.

**Part - C** (3 × 10 = 30)

Answer any **three** questions.

16. What are Some attributes of a project Manager ?

17. State the Significance of project report.

18. How will you assess the managerial feasibility of a project ?

19. Explain the Normal Time and Crash Time.

20. What are the different classification of project.

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# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## Elective—BUSINESS LEGISLATIONS

(CBCS—2008 onwards)

Time : 3 Hours Maximum : 75 Marks

**Part - A** (10 × 2 = 20)

Answer **all** questions.

1. Define Quasi Contract.

2. List down the content of Articles of Association.

3. What are the significance of certificate of commencement of business ?

4. State the objectives of CoPRA.

5. Bring out the conditions under which a consumer can file cases in the consumer Dispute Redressal Forum.

6. What are the rights of an unpaid seller ?

7. What do you know about “Caveat Emptor” ?

8. What is bailment ?

9. What do you mean by contract of indemnity ?

10. Can a minor be entered into contract.

## Part - B (5 × 5 = 25)

Answer **all** questions.

11. (a) Explain the essentials of a valid contract.

(*Or*)

(b) What do you mean for breach of contract ? Enumerate its essential features.

12. (a) Distinguish between contract of Indemnity and contract of guarantee.

(*Or*)

(b) Describe the rights and duties of pawner.

13. (a) Distinguish between sale and agreement to sell.

(*Or*)

(b) Outline the rights and duties of the buyer and seller.

14. (a) What is consumer protection council ? Explain its significance.

(*Or*)

(b) Explain briefly the rights of Consumers under the Consumer Protection Act, 1986.

15. (a) Who is a director ? How can he be appointed ?

(*Or*)

(b) Describe the different kinds of companies under the companies Act, 1956.

**Part - C** (3 × 10 = 30)

Answer any **three** questions.

16. Elucidate the legal provision regarding the different kinds of meetings of Companies.

17. Outline briefly the Consumers Disputes Redressal Machinery in India.

18. Describe the circumstance under which a contract may be discharged.

19. Explain the creation and termination of agency under the Special Contract Act.

20. Distinguish between the following :—

(a) Condition and warranties.

(b) Memorandum of association and Articles of association.

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RW-6285

611401

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## INDIRECT TAX LAW AND PLANNING

(CBCS—2008 onwards)

Time : 3 Hours Maximum : 75 Marks

**Part - A** (10 × 2 = 20)

Answer **all** questions.

All questions carry equal marks.

1. Define "Indirect Tax".

2. What does "Tax on Units" mean ?

3. Define "Excise duty".

4. State the types of excisable goods.

5. What is meant by “Personal Ledger Account” ?

6. Write a short note on “set off duties”.

7. Define “Import”.

8. What is meant by “Customs Area” ?

9. Define “Dealer as per CST Act.

10. What does “Intra-State” Sale mean ?

**Part - B** (5 × 5 = 25)

Answer **all** questions.

All questions carry equal marks.

11. (a) What does “Tax on Sales” mean ?

(*Or*)

(b) Write a short note on "Tax on Export".

12. (a) Analyse the nature of Service Tax.

(*Or*)

(b) Explain the classifications of Excise duty.

13. (a) Discuss the exemptions from Excise duty.

(*Or*)

(b) Write a short note on "Duty Drawback" Scheme.

14. (a) Discuss the exemptions from Customs duty.

(*Or*)

(b) Explain the procedure for clearance of goods as per the Customs Act.

15. (a) Define "Goods as per the CST Act.

(*Or*)

(b) Describe the refund procedure as per the CST Act.

## Part - C (3 × 10 = 30)

Answer any **three** questions.
All questions carry equal marks.

16. Analyse the significance of Tax.

17. What are "Taxable Services" ? Explain.

18. Explain VAT and MODVAT

19. Describe the procedure for valuation as per the Customs Act.

20. What are "Goods of special Importance" ? Explain.

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RW-6286

611402

# M.Com. DEGREE EXAMINATION
# NOVEMBER 2010

## Commerce

## ADVANCED COST ACCOUNTING

(CBCS—2008 onwards)

Time : 3 Hours Maximum : 75 Marks

**Section - A** (10 × 2 = 20)

Answer **all** questions.

1. What is cost Accounting ?

2. What is prime cost ?

3. What do you mean by cost sheet ?

4. What is by-product ?

5. What is meant by job costing ?

6. What is Abnormal Loss ?

7. What do you mean by Notional profit ?

8. What is a passengers kilometers ?

9. Define standard costing.

10. What is Activity Based costing ?

**Section - B** (5 × 5 = 25)

Answer **all** questions.

11. (a) Explain the "Functional classification" of cost.

(*Or*)

(b) From the following particulars, prepare the stores ledger under last in first out method.

| | |
|---|---|
| December 1 stock in hand | 500 units at Rs. 20. |
| December 2 issued | 200 units. |
| December 3 purchased | 150 units at Rs. 22. |
| December 4 Issued | 100 units. |
| December 5 Purchased | 200 units at Rs. 25. |

12. (a) The following data related to the manufacture of a standard product during the month of April 1984.

| | |
|---|---|
| Raw materials. | Rs. 80,000 |
| Direct wages | Rs. 48,000 |
| Machine hours worked | 8,000 hours |
| Machine hour rate | Rs. 4 |

| | |
|---|---|
| Administration overheads | 10 % of works cost |
| Selling overheads | Rs. 1.50 per unit. |
| Units produced | 4,000 |
| Units sold | 3,000 |
| Selling price | Rs. 50 per unit. |

You are required to prepare a cost sheet in respect of the above showing (a) cost per unit (b) profit for the month.

(*Or*)

(b) A by-product Y is derived from the manufacture of the main product XY. The by-product is further processed for sale. From the following data prepare an account showing the cost per Kilogram of products XY and Y.

| | Joint expenses | Separate expenses | |
|---|---|---|---|
| | | XY | Y |
| | Rs. | Rs. | Rs. |
| Materials | 20,000 | 12,000 | 1,000 |
| Labour | 14,000 | 10,000 | 4,000 |
| Overheads | 5,000 | 3,000 | 1,200 |

The quantities produced during the period under consideration were - XY 400 kg. and Y 100 kg.

The Selling price of Y is Rs. 240 per Kg on which the profit earned is estimated at 30% of the selling price.

13. (a) From the data given below, obtained from the books of M/S Anitha & Co., for the year ended 31st December 1998. Prepare (1) Consolidated completed jobs account showing the profit or loss ; and (2) Consolidated work in progress account.

| | Completed jobs Rs. | Work-in-progress Rs. |
|---|---|---|
| Raw material supplied stores | 9,000 | 3,000 |
| Chargeable expenses | 1,000 | 400 |
| Wages | 10,000 | 4,000 |
| Material transferred to work-in-progress | 200 | 200 |
| Material returned to stores | 100 | – |

Factory overhead is 80 % of wages and office overhead 25% of factory cost. The value of executed jobs during 1988 was Rs. 41, 000.

(*Or*)

(b) In process A, 100 units of raw materials were introduced at a total cost of Rs. 1,000. The other expenditure, incurred by the process was Rs. 602. Of the units introduced 10 % are normally lost in the course of manufacture and then posses a scarp value of Rs. 3 each. The output of process 'A' was only 75 units. Prepare process 'A' Account and Abnormal Loss account.

14. (a) Vikram constructions Ltd., have obtained a contract for construction of a Bridge. The value of the contract is Rs. 12 lakhs and the work commenced on 1st January 1994. The following details are shown in their books for the year ended 31st December 1994.

Plant purchased Rs. 60,000 ; Materials issued to site Rs. 3,36,000; wages paid Rs. 3,40,000 ; Direct expenses Rs. 8,000 ; general overheads

apportioned RS.32,000 ; wages accrued due on 31.12.94 Rs. 2,800 ; Materials at site as on 31-12-94 Rs. 4,000 ; Direct expenses accrued as on 31-12-94 Rs. 1,200 ; work not yet certified at cost Rs. 14,000 ; Cash received being 80% of work certified Rs. 6,00,000 ; Life of plant purchased is 5 years and scarp value is nil.

Prepare the contract account for the year ended 31-12-94.

(*Or*)

(b) A transport company is running 4 buses between two town which are 50 Kms apart. Seating capacity of each bus is 40 passengers. the following particulars were obtained from their books for April 1998 :

| | Rs. |
|---|---|
| Wages of drivers and conductors | 2,400 |
| Salaries to office staff | 1,000 |
| Direct and other oils | 4,000 |
| Repairs and maintenance | 800 |
| Taxes and insurance | 1,600 |
| Depreciation | 2,600 |
| Interest and other charges | 2,000 |
| | 14,400 |

Actual passengers carried were 75 % of the Seating capacity. All the four buses run on all days of the month. Each bus made one round trip per day. Find out cost per passenger K.m.

15. (a) From the following information calculate :

(i) Labour rate variance.

(ii) Labour efficiency variance and

(iv) Labour cost variance.

| | Standard Rs. | Actual Rs. |
|---|---|---|
| Number of men employed | 100 | 90 |
| Output in units | 5,000 | 4,800 |
| Number of working days in a month | 20 | 18 |
| Aaverage wages per man per month Rs. | 200 | 198 |

(*Or*)

(b) Write a detailed not on "Balanced score card".

## Section - C (3 × 10 = 30)

Answer any **three** questions.

16. Explain the advantages and disadvantages of costing.

17. Prepare a stores ledger account from the following information adopting FIFO method of pricing of issues of materials.

| | | | |
|---|---|---|---|
| March | 1 | Opening Balance | 500 tonnes at Rs. 200 |
| March | 3 | Issue | 70 tonnes. |
| March | 4 | Issue | 100 tonnes |
| March | 8 | Issue | 80 tonnes. |
| March | 13 | Received from supplier | 200 tonnes at Rs. 190. |

| | | |
|---|---|---|
| March 14 | Returned from department A | 15 tonnes |
| March 16 | Issue | 180 tonnes |
| March 20 | Received from suppliers | 240 tonnes at Rs. 195. |
| March 24 | Issue | 300 tonnes |
| March 25 | Received from supplier | 320 tonnes at Rs. 200. |
| March 26 | Issue | 115 tonnes. |
| March 27 | Returned from department B | 35 tonnes. |
| March 28 | Received from supplier | 100 tonnes at Rs. 200. |

18. From the following prepare statement of equivalent production, statement of cost and statement of evaluation.

| | |
|---|---|
| Opening work-in progress. | (2,000 units) |
| Materials (100 % complete) | Rs. 15,000 |
| Labour (60 % complete) | Rs. 6,000 |
| Overhead (60 % complete) | Rs. 3,000 |
| Units introduced into the process : | 8,000 |

There are 2,000 units in the process and the stage of completion is estimated to be :

8,000 units are transferred to the next process

The process costs for the period are ;

| | Rs. |
|---|---|
| Material | 2,00,000 |
| Labour | 1,56,000 |
| Overheads | 78,000 |

19. Mr. Subramanyam furnishes you the following data and wants you to compute the cost per running Km of vehicle A.

| | Rs. |
|---|---|
| Cost of vehicle | 2,50,000 |
| Road license per year | 800 |
| Annual supervision and salaries | 2,700 |
| Driver's wages per hour | 4 |
| Cost of fuel per liter | 12 |
| Repairs and maintenance per km | 2 |
| Tyres cost per liter | 1 |
| Insurance premium p.a. | 700 |

| | |
|---|---|
| Garage rent per km | 1,300 |
| Kms run per liter | 20 |
| Kms run during the year | 15,000 |
| Estimated life of vehicle in kms | 1,00,000 |
| Average tonnage carried | 6 |

Charge interest at 5 % per annum on cost of vehicle.

The vehicle runs 20 kms per hour on an average.

20. From the following particulars calculate :

(a) Material cost variance.

(b) Material mix variance.

(c) Material usage variance.

(d) Material price variance.

(e) Material yield variance.

| Material | Standard | | Actual | |
|---|---|---|---|---|
| | Quantity | price | Quantity | Price |
| | Units | Rs. | Units | Rs. |
| A | 500 | 6 | 400 | 6 |
| B | 400 | 3.75 | 500 | 3.60 |
| C | 300 | 3 | 400 | 2.80 |
| | 1,200 | | 1,300 | |
| *Less* : Normal Loss 10% | 120 | Actual loss | 220 | |
| | 1,080 | | 1,080 | |

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RW-6287

611702

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## QUANTITATIVE TECHNIQUES

(CBCS–2008 onwards)

Time : 3 Hours Maximum : 75 Marks

### Section A (10 × 2 = 20)

Answer **all** questions.

1. What is problem definition ?

2. What is trade off ?

3. What are variables ?

4. What are functions ?

5. What is Duality ?

6. What is probability ?

7. What are saddle points ?

8. What are pay-off table ?

9. What is Mini max criteria ?

10. What is Maxi maxi criteria ?

## Section - B (5 × 5 = 25)

Answer **all** questions.

11. (a) Explain the concept of scope and its relevance in decision making.

(*Or*)

(b) Differentiate Linear function from Non-linear function.

12. (a) Explain the concept of optimization.

(*Or*)

(b) Write the dual of the LPP

Minimise $Z = 3x_1 - 2x_2 + 4x_3$

subject to $3x_1 + 5x_2 + 4x_3 \geq 7$

$$-6x_1 - x_2 - 3x_2 \leq -4$$

$$7x_1 - 2x_2 - x_3 \leq 10$$

$$x_1 - 2x_2 + 5x_3 \geq 10$$

$$4x_1 + 7x_2 - 2x_3 \geq 2$$

$$x_1, x_2, x_3 \geq 0$$

13. (a) What are the applications of queueing theory ?

(*Or*)

(b) Differentiate Conditional probability from Marginal probability.

14. (a) Explain the basic concept of Game theory.

(*Or*)

(b) Explain your views on simulation as an instrument for decision making.

15. (a) Explain decision theory and its implications.

(*Or*)

(b) What do you understand by expected value of pay-off ?

## Section- C (3 × 10 = 30)

Answer any **three** questions.

16. Discuss in detail mathematical models and their development.

17. Solve the following LPP

Maximise $Z = 4x_1 + 4x_2 + 3x_2$

subject to $-x_1 + 2x_2 + 3x_3 \leq 15$

$$-x_1 + x_3 \leq 4$$

$$2x_1 + x_2 - x_3 \leq 6$$

$$x_1 - x_2 + 2x_3 \leq 10$$

$$0 \leq x_1 \leq 8, 0 \leq x_2 \leq 4, \ 0 \leq x_3 \leq 4$$

18. A supervisor of a small machine floor has four operators available to assign jobs for the day. Five jobs are offered with expected profit for each operator on each job as follows :

Jobs

| | | $J_1$ | $J_2$ | $J_3$ | $J_4$ | $J_5$ |
|---|---|---|---|---|---|---|
| Operator | $O_1$ | 12 | 28 | 0 | 51 | 32 |
| | $O_2$ | 12 | 34 | 11 | 23 | 9 |
| | $O_3$ | 37 | 42 | 61 | 21 | 31 |
| | $O_4$ | 0 | 14 | 37 | 27 | 30 |

Assign operators to jobs which results in overall maximum profit. Which jobs should be declined ?

19. Find the optimum solution to the following transportation problem in which cells contain the transportation cost in rupees.

Table

| | $T_1$ | $T_2$ | $T_3$ | $T_4$ | $T_5$ | Available | |
|---|---|---|---|---|---|---|---|
| $x_1$ | 7 | 6 | 4 | 5 | 9 | 40 | |
| $x_2$ | 8 | 5 | 6 | 7 | 8 | 30 | |
| $x_3$ | 6 | 8 | 9 | 6 | 5 | 20 | |
| $x_4$ | 5 | 7 | 7 | 8 | 6 | 10 | |
| Required : | 30 | 30 | 15 | 20 | 5 | 100 | Total |

20. TVS company manufactures around 200 TVS 50 mopeds. Depending upon the availability of raw materials and other conditions, the daily production has been varying from 196 to 204 TVS 50 s, whose probability distribution is given below :

| | | | | | | |
|---|---|---|---|---|---|---|
| Production/day | : | 196 | 197 | 198 | 199 | 200 |
| Probability | : | 0.05 | 0.09 | 0.12 | 0.14 | 0.20 |
| Production/day | : | 201 | 202 | 203 | 204 | |
| Probability | : | 0.15 | 0.11 | 0.08 | 0.06 | |

The finished TVS 50's are transported in a specially designed three storeyed lorry that can accommodate 200 only. Simulate the process to find

(a) What will be the average number of empty spaces on the lorry ?

(b) What will be the average number of TVS 50s waiting in factory ?

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RW-6288

611201

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## PERSONNEL MANAGEMENT

(CBCS—2008 onwards)

Time : 3 Hours Maximum : 75 Marks

**Part - A** (10 × 2 = 20)

Answer **all** questions.

1. What is meant by human resource management ?

2. List the operative functions of HRM.

3. What do you understand by personnel policy ?

4. What is meant by job description ?

5. Define Recruitment.

6. What is placement ?

7. What is meant by living wage ?

8. What do you understand by human resource information system ?

9. What do you mean by employee integration ?

10. Define Grievance.

**Part - B** (5 × 5 = 25)

Answer **all** questions.

11. (a) What are the objectives of human resource management ?

(*Or*)

(b) How does Human Resource Management differ from Personnel Management ?

12. (a) Explain the need for manpower planning.

(*Or*)

(b) What are the uses of job analysis ?

13. (a) What causes transfer ? List the salient features of a good transfer policy.

(*Or*)

(b) State the significance of executive development in the Indian context..

14. (a) Explain the rationale behind offering incentives to the employees.

(*Or*)

(b) Outline the components of wage structure.

15. (a) Explain the importance of industrial relations.

(*Or*)

(b) Bring out the levels and forms of Worker's participation in management.

## Part - C

(3 × 10 = 30)

Answer any **three** questions.

16. Describe the role of HR management and explain the challenges HR facing today.

17. Discuss the process and importance of manpower planning.

18. Discuss the selection process and explain the need for scientific selection.

19. What are the objectives of job evaluation ? Explain various methods of job evaluation.

20. Explain the Trade Union movement in India. Also briefly explain the important problems of trade union.

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RW-6289

611202

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## RESEARCH METHODS IN BUSINESS

(CBCS—2008 onwards)

Time : 3 Hours Maximum : 75 Marks

**Part - A** (10 × 2 = 20)

Answer **all** questions.

1. Define Research.

2. What is a Hypothesis ?

3. Define Research design.

4. What do you understand by Sampling ?

5. What is meant by Pre-testing ?

6. What is meant by Schedule ?

7. What do you understand by Classification ?

8. Write short note on ANOVA.

9. What is Research report ?

10. Why Interpretation ?

**Part - B** (5 × 5 = 25)

Answer **all** questions by choosing *either* (a) *or* (b).

11. (a) Discuss the objectives of Research.

(*Or*)

(b) What are the sources of Hypotheses ?

12. (a) Describe the essentials of a good sampling.

(*Or*)

(b) Briefly explain different steps in preparing a research design.

13. (a) What are the advantages of Pre-testing ?

(*Or*)

(b) Discuss the types of schedules.

14. (a) What are the rules for Classification ?

(*Or*)

(b) Discuss the conditions for the application of Chi-square test.

15. (a) Explain the Mechanics of writing a research report.

(*Or*)

(b) What are the significance of Report writing ?

## Part - C

(3 × 10 = 30)

Answer any **three** questions.

16. Discuss the significance of research in business sciences.

17. What are the important components of a Research design ?

18. Explain the different types of Observation.

19. Describe the methods of Tabulation.

20. Explain the Layout of the research report.

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**RW-6290** **611203**

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## ADVANCED MANAGEMENT ACCOUNTING

(CBCS—2008 onwards)

Time : 3 Hours Maximum : 75 Marks

**Part - A** (10 × 2 = 20)

Answer **all** questions.

1. Explain Financial Accounting.

2. What is Cost Accounting ?

3. Explain Stock Turnover ratio.

4. What do you mean by Earning Per share ?

5. What do you mean by 'Working Capital' ?

6. What is Cash Flow Analysis ?

7. What is 'Fund' ?

8. Explain Break - even Point.

9. Explain the term 'Contribution'.

10. Explain "Budgetary Control'.

**Part - B** (5 × 5 = 25)

Answer **all** questions.

11. (a) Explain the term Management Accounting and its importance.

(*Or*)

(b) Discuss the use of Management Accounting in Decision making.

12. (a) Discuss the main tools available for analysis of financial data.

(*Or*)

(b) Write short notes on :

(i) Propriety Ratio.

(ii) Return on Total Investments.

(iii) Fixed Assets Turnover.

13. (a) From the following two Balance Sheets as on 31st December 2005 and 2006, you are required to prepare Statement of Cash Flow.

| Liabilities | 2005 Rs. | 2006 Rs. | Assets | 2005 Rs. | 2006 Rs. |
|---|---|---|---|---|---|
| Share Capital | 2,00,000 | 2,50,000 | Cash | 30,000 | 47,000 |
| Profit and Loss Account | 10,000 | 23,000 | Debtors | 1,20,000 | 1,15,000 |
| Trade creditors | 70,000 | 45,000 | Stock in Trade | 80,000 | 90,000 |
| | | | Land | 50,000 | 66,000 |
| | 2,80,000 | 3,18,000 | | 2,80,000 | 3,18,000 |

(*Or*)

(b) From the following Balance Sheets of A Ltd. make out

(i) Statement of changes in the working capital and

(ii) Fund Flow statement

Balance Sheets (Year end)

| Liabilities | 2006 Rs. | 2007 Rs. | Assets | 2006 Rs. | 2007 Rs. |
|---|---|---|---|---|---|
| Equity share capital | 3,00,000 | 4,00,000 | Goodwill | 1,15,000 | 90,000 |
| 8 % Redeemable reference share Capital | 1,50,000 | 1,00,000 | Land and Buildings | 2,00,000 | 1,70,000 |
| General reserve | 40,000 | 70,000 | Plant | 80,000 | 2,00,000 |
| Profit and Loss Account | 30,000 | 48,000 | Debtors | 1,60,000 | 2,00,000 |
| | | | Stock | 77,000 | 1,09,000 |
| Proposed dividend | 42,000 | 50,000 | Bills Receivable | 20,000 | 30,000 |
| Creditors | 55,000 | 83,000 | | | |
| Bills payable | 20,000 | 16,000 | Cash in hand | 15,000 | 10,000 |
| Provision for Taxation | 40,000 | 50,000 | Cash at Bank | 10,000 | 8,000 |
| | 6,77,000 | 8,17,000 | | 6,77,000 | 8,17,000 |

Additional Information :

(i) Depreciation of Rs. 10,000 and Rs. 20,000 has been charged on Plant and Land and Buildings respectively in 2007.

(ii) An interim dividend of Rs. 20,000 has been paid in 2007.

(iii) Tax Rs. 35,000/- has been paid during the year 2007.

14. (a) Abirami Company Limited manufacture a single product. A forecast the number of the units to be sold in the seven months of the year is given below :

| Months | | Products (units) |
|---|---|---|
| January | ... | 10,000 |
| February | ... | 12,000 |
| March | ... | 16,000 |

| Months | | Products (units) |
|---|---|---|
| April | ... | 20,000 |
| May | ... | 24,000 |
| June | ... | 24,000 |
| July | ... | 20,000 |

It is anticipated that :

(i) there will be no work - in - progress at the end of any month,

(ii) finished units equal to half the sales for the next month will be in stock at the end of each month (including the previous December).

Budgeted production and production costs for the whole year are as follows :

| | |
|---|---|
| Production | 2,20,000 units |
| Per unit : direct materials | Rs. 12.00 |
| Direct Labour | Rs. 4.00 |
| Total factory overhead, apportioned | Rs. 6,60,000. |

Prepare for the six months ending 30th June, a production budget for each month and summarised production cost Budget.

(*Or*)

(b) The following data are available in a manufacturing Company for a half yearly period.

| Fixed Expenses : | Rs. (Lakhs) | |
|---|---|---|
| Wages and Salaries | 8.4 | |
| Rents, Rates and Taxes | 5.6 | |
| Depreciation | 7.0 | |
| Sundry Administrative Expenses | 8.9 | |
| | | 29.9 |
| Semi variable Expenses (at 50 % Capacity : | | |
| Maintenance and repair | 2.5 | |
| Indirect Labour | 9.9 | |
| Sales Dept, Salaries etc | 2.9 | |
| Sundry Administrative Expenses | 2.6 | |
| | | 17.9 |

Variable expenses (at 50 % Capacity) :

| | | |
|---|---|---|
| Materials | 24.0 | |
| Labour | 25.6 | |
| Other Expenses | 3.8 | |
| | —— | 53.4 |

Assume that the fixed expenses remain constant for all levels of production, semi - variable expenses remain constant between 45 per cent and 65 per cent of capacity, increasing by 10 per cent between 65 percent and 80 per cent capacity, and by 20 per cent between 80 per cent and 100 per cent capacity.

Sales at the various levels are :

| | Rs. (lakhs) |
|---|---|
| 50 per cent capacity | 100.00 |
| 75 per cent capacity | 120.00 |
| 90 per cent capacity | 150.00 |
| 100 per cent capacity | 170.00 |

Prepare a flexible budget for the half year and forecast the profits at 60 per cent, 75 per cent 90 per cent of Capacity.

15. (a) Gabriel Ltd., manufactures a single product which it sells at Rs. 20 per unit. Existing plant has a maximum capacity of 20,000 units per annum at which level net profit is Rs. 1.50 per unit and the p/v Ratio is 20 % New plant is to be Purchased having a maximum Capacity of 30,000 units per annum, but which will result in fixed costs being increased by Rs. 15,000 per annum. Variable Costs will be reduced by Rs. 4 per unit and to achieve increased sales, the selling price is also to be reduced by Rs. 4 per unit.

Required :

1. Calculated the revised p/v ratio as a result of the purchase of the new plant.

2. Calculate the number of units which would require to be produced using the new plant, to give a 50 % increase in profit compared with maximum production using the old plant.

(*Or*)

(b) Given :

Period 1 sales Rs. 30,000 ; Profit Rs. 8,000

Period 2 sales Rs. 38,000 ; Profit Rs. 23,000

Calculate :

(i) the p/v Ratio :

(ii) the profit when sales are Rs. 24,000

(iii) the sales required to earn a profit of Rs. 4,000/-

## Part - C (3 × 10 = 30)

Answer any **three** questions.

16. (a) Distinguish between Management Accounting and Financial Accounting.

(b) Distinguish between Management Accounting and Cost Accounting.

17. The following are the summarized profit and loss account of Vidarbha Limited for the year ending 31st December 2006, and the Balance Sheet as on that date :

| Dr. | profit and Loss Account | | Cr. |
|---|---|---|---|
| | Rs. | | Rs. |
| To Opening Stock | 99,500 | By Sales | 8,50,000 |
| To Purchases | 5,45,250 | By Closing Stock | 1,49,000 |

| Dr. | Profit and Loss Account | | Cr. |
|---|---|---|---|
| | Rs. | | Rs. |
| To Incidental expenses | 14,250 | | |
| To Gross Profit | 3,40,000 | | |
| | 9,99,000 | | 9,99,000 |
| To operating expenses : | | By Gross Profit | 3,40,000 |
| To Selling and distribution | 30,000 | By Non-operating | |
| To Administrative | 1,50,000 | Income : Interest | 3,000 |
| expenses | | By Profit on Sale | |
| Finance | 15,000 | of shares | 6,000 |
| To Non - Operating | | | |
| expenses : | | | |
| Loss on sales of assets | 4,000 | | |
| To Net Profit | 1,50,000 | | |
| | 3,49,000 | | 3,49,000 |

Balance Sheet

| Liabilities | Rs. | Assets | Rs. |
|---|---|---|---|
| Issued Capital : | | Land and | |
| 2000 Equity shares | | Buildings | 1,50,000 |
| of Rs. 100 each | 2,00,000 | Plant and | |
| Reserves | 90,000 | Machinery | 80,000 |
| Current liabilities | 1,30,000 | Stock - in trade | 1,49,000 |
| profit and Loss | | Sundry Debtors | 71,000 |
| Account | 60,000 | Cash and Bank | |
| | | Balance | 30,000 |
| | 4,80,000 | | 4,80,000 |

From the above statement you are required to calculate the following ratios :

(i) Current ratio.

(ii) Operating ratio.

(iii) Stock turnover.

(iv) Return on Total resources.

(v) Turnover of fixed Assets.

18. What are the advantages and limitations of Cash flow analysis ? Discuss the analysis of cash flows for decision - making.

19. For Production of 10,000 Electrical Automatic Irons, the following are budgeted expenses :

| | Per unit Rs. |
|---|---|
| Direct materials | 60 |
| Direct Labour | 30 |
| Variable Overhead | 25 |

| | Per unit Rs. |
|---|---|
| Fixed overhead (Rs. 1,50,000) | 15 |
| Variable expenses (direct) | 5 |
| Selling expenses (10 % fixed) | 15 |
| Administration expenses (Rs. 50,000 rigid for all levels of production) | 5 |
| Distribution expenses (20 % fixed) | 5 |
| Total cost of Sales per unit | 160 |

Prepare a budget for production of 6,000, 7,000 and 8,000 Irons, showing distinctly Marginal Cost and Total Cost.

20. "The XYZ Company Ltd" produces and markets industrial containers and packing cases. Due to Competition the company proposes to reduce the selling price. If the present level of profit is to be maintained, indicate the number of units to be sold if the proposed reduction in selling price is :

(a) 5 %.

(b) 10 % and

(c) 15 %.

The following additional informations is available :

| | | |
|---|---|---|
| Present sales turnover (30,000 units) | | 3,00,000 |
| Variable cost (30, 000 units) | 1,80,000 | |
| Fixed Cost | 70,000 | |
| | | 2,50,000 |
| Net profit | | 50,000 |

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RW-6291

611204

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## PROCEDURE AND DOCUMENTATION OF EXPORTS

(CBCS—2008 onwards)

Time : 3 Hours Maximum : 75 Marks

**Part - A** (10 × 2 = 20)

Answer **all** questions.

1. What is letter of credit ?

2. Why is customs clearance of import cargo required ?

3. Why is quality control required for export cargo ?

4. What are major export documents ?

5. What is Multimodal transport ?

6. What is BTP Schemes ?

7. What are DFIA schemes ?

8. Why is cargo insurance required for export goods ?

9. What is Marine Insurance ?

10. State the objectives of Export Promotion Councils.

**Part - B** (5 × 5 = 25)

Answer **all** questions.

11. (a) State the role of Clearing and Forwarding Agents.

(*Or*)

(b) Explain the procedure of filing claim from ECGC along with the documentation formalities.

12. (a) State the various legal documents which are required for exports from India.

(*Or*)

(b) Explain the procedure and documents required for shipment of cargo.

13. (a) State the Export Promotion Capital Goods (EPCG) Schemes.

(*Or*)

(b) Explain the Foreign Trade Policy during 2009.

14. (a) What are the procedures for marine insurance claims ?

(*Or*)

(b) State the features of the Open cover policy.

15. (a) State the objectives of Directorate of Commercial Intelligence and Statistic.

(*Or*)

(b) What are the functions of Director-General of Foreign Trade ?

## Part - C

$(3 \times 10 = 30)$

Answer any **three** questions.

16. Describe the provisions relating to exports under the Export Import Policy of Government of India.

17. Describe the procedures and documents related to foreign exchange regulations.

18. Explain the various Central Excise Benefit Schemes.

19. Discuss various kinds of perils under cargo insurance with suitable examples.

20. Describe the functions of Export Promotion Councils.

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RW-6292

611503

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## INSURANCE AND RISK MANAGEMENT

(CBCS—2008 onwards)

Time : 3 Hours Maximum : 75 Marks

**Part - A** (10 × 2 = 20)

Answer **all** questions.

1. Define "Insurance".

2. What do you know about risks ?

3. How does life insurance provide economic protections ?

4. What is Nomination ?

5. What is marine insurance ?

6. What is additional cover ?

7. What are financial risks ?

8. What is value of risk ?

9. What is the meaning of 'derivative' ?

10. What are liquidity risks ?

**Part - B** (5 × 5 = 25)

Answer **all** questions.

11. (a) State the principles of insurance.

(*Or*)

(b) Differentiate between life and non-life policies.

12. (a) Explain the factors of life insurance.

(*Or*)

(b) What are the special features of rural insurance ?

13. (a) Explain briefly the salient features of project and engineering insurance.

(*Or*)

(b) Explain briefly the various schemes of health insurance.

14. (a) How is standard deviation useful in measuring financial risks.

(*Or*)

(b) Briefly explain risk management strategies.

15. (a) Explain different types of options.

(*Or*)

(b) Bring out the points of distinction between static hedging and delta hedging.

## Part - C

(3 × 10 = 30)

Answer any **three** questions.

16. Discuss the impact of LPG on insurance industry in India.

17. Explain the procedure for the issue of duplicate life policy.

18. Describe the special features of Motor insurance.

19. Explain the tools for measuring financial risks with examples.

20. Discuss the management of credit risks.

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RW-6293

611302

# M.Com. DEGREE EXAMINATION, NOVEMBER 2010

## Commerce

## SECURITY ANALYSIS AND PORTFOLIO MANAGEMENT

(CBCS—2007 Batch)

Time : 3 Hours Maximum : 100 Marks

(5 × 20 = 100)

Answer **all** questions.

Each questions carry 20 marks.

1. (a) State the economic and financial meaning of investment. In the stock Market, can you differentiate the investor from speculator ?

(*Or*)

(b) Specify the characteristics of good investment.

2. (a) What is risk ? Distinguish between systematic risk and unsystematic risk. How does systematic risk affect the individual stock return.

(*Or*)

(b) Name the tools of analysis used to measure the risk of the Securities return. How would you minimize the various risk exposures ?

3. (a) Explain the different approaches in the construction of portfolio.

(*Or*)

(b) Explain the types of portfolio and discuss how would you choose the appropriate portfolio for your investment.

4. (a) Discuss the Sharpe's approach towards Portfolio performance evaluation.

(*Or*)

(b) Discuss the types of inputs needed for portfolio analysis under Markovitz Model.

5. (a) Explain the CAPM theory and its validity in the Stock Market.

(*Or*)

(b) Discuss the advantages fo Arbitrage Pricing Theory over CAPM.

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